U.S. Securities and Exchange Commission

PRESS RELEASE

SEC Charges U.S. Subsidiary of World's Largest Inter-Dealer Broker for Displaying Fictitious Trades and Misleading Customers

ICAP Securities USA LLC to Pay $25 Million to Settle SEC Findings

FOR IMMEDIATE RELEASE | 2009-272

Washington, D.C., Dec. 18, 2009 —The Securities and Exchange Commission today charged a U.S. subsidiary of the world's largest inter-dealer broker, U.K.-based ICAP plc, with fraud for engaging in deceptive broking activity and making material misrepresentations to customers concerning its trading activities.

As an inter-dealer broker, ICAP Securities USA LLC (ICAP) matches buyers and sellers in over-the-counter markets for various securities, such as U.S. Treasuries and mortgage-backed securities, by posting trade information on computer screens accessed by its customers who make trading decisions based in part on such information. Inter-dealer brokers with greater trade activity on their screens often are better positioned to attract customer orders and earn more commissions than those whose screens reflect little or no trading activity.

The SEC's enforcement action finds that ICAP, through its brokers on its U.S. Treasuries (UST) desks, displayed fictitious flash trades also known as "bird" trades on ICAP's screens and disseminated false trade information into the marketplace in order to attract customer attention to its screens and encourage actual trading by these

customers. ICAP's customers believed the displayed fake trades to be real and relied on the phony information to make trading decisions.

ICAP agreed to settle the SEC's charges by, among other things, paying $25 million in disgorgement and penalties. The SEC additionally charged five ICAP brokers for aiding and abetting the firm's fraudulent conduct and two senior executives for failing reasonably to supervise the brokers. The individuals have each agreed to pay penalties to settle the SEC's charges.

"It is essential that ICAP and other inter-dealer brokers refrain from engaging in conduct that discredits their privileged position in the marketplace," said Lorin L. Reisner, Deputy Director of the SEC's Division of Enforcement. "ICAP engaged in deceptive practices that violated the legal and professional standards required of market participants; our action today demonstrates zero tolerance for such conduct."

The seven individuals at ICAP charged by the SEC are:

- Ronald A. Purpora, the former President of ICAP North America, ICAP's U.S. parent and a member of ICAP plc's Global Executive Management Group.
- Gregory F. Murphy, the Chief Operating Officer of ICAP.
- Peter M. Agola, a broker on the UST long bond desk, and the assistant manager of the desk since 2005.
- Ronald Boccio, a broker on the UST 5-year desk.
- Kevin Cunningham, a broker on the UST shorts desk, and the manager of the desk since 2005.
- Donald E. Hoffman, Jr., a broker on the UST 10-year desk until his retirement in 2006.
- Anthony Parisi, a broker on the UST 5-year desk, and a co-manager of the desk during the relevant period.

According to the SEC's order, ICAP's UST brokers displayed thousands of fictitious flash trades to ICAP's customers between December 2004 and December 2005. The SEC also finds that ICAP represented to its off-the-run UST customers that its electronic trading system would follow certain workup protocols in handling customer orders. Such ICAP customers therefore expected that their orders, once entered onto ICAP's screens, would be filled according to the workup protocols. However, ICAP's brokers on the UST desks used manual tickets to bypass such protocols and close out of thousands of positions in their ICAP house accounts, thereby rendering ICAP's representations concerning the workup protocols false and misleading. In some

instances, ICAP's customers' orders received different treatment than the customers expected pursuant to the workup protocols.

The SEC's order further finds that ICAP held itself out as a firm that did not engage in trading that subjected its own capital to risk. ICAP's regulatory filings routinely made this point, noting specifically in one instance that the firm "does not engage in proprietary trading." During the relevant period, however, two former ICAP brokers on the voice-brokered collateral pass-through mortgage-backed securities (MBS) desk routinely engaged in profit-seeking proprietary trading that rendered ICAP's representations regarding proprietary trading false and misleading. The SEC's order also finds that ICAP failed to make and keep certain required books and records on the UST desks and the MBS desk.

According to the SEC's order, Purpora and Murphy supervised the respondent brokers on the UST desks, and, despite red flags, failed to prevent and detect the brokers' fictitious flash trades until after the conduct had been uncovered by the SEC. Both Purpora and Murphy were aware that the respondent brokers used manual tickets to close out of positions in their house accounts, but failed to inquire into the brokers' practices regarding the use of manual tickets to circumvent the workup protocols concerning customer orders.

The SEC's order finds that ICAP willfully violated Section 17(a)(2) and 17(a)(3) of the Securities Act of 1933, and Section 15C of the Securities Exchange Act of 1934 and 17 CFR Parts 404 and 405. The order also finds that each of the five brokers willfully aided and abetted and caused ICAP's violations of Section 17(a)(2) and 17(a)(3) of the Securities Act, and that Purpora and Murphy failed reasonably to supervise the brokers.

Without admitting or denying the SEC's findings, ICAP has agreed to a censure, to cease and desist from committing or causing any violations of Section 17(a)(2) and 17(a)(3) of the Securities Act, Section 15C of the Exchange Act and 17 CFR Parts 404 and 405, and to pay $1 million in disgorgement and $24 million in penalties. ICAP also has agreed to retain an independent consultant to, among other things, review ICAP's current controls and compliance mechanisms; its trading activities on all desks to ensure that the violations described in the order are not occurring elsewhere at ICAP; and ICAP's books and records pertaining to trading records. Based on its review, the independent consultant will recommend any additional policies and procedures which are reasonably designed to ensure that ICAP complies with applicable provisions of the federal securities laws.

Without admitting or denying the SEC's findings, each of the brokers has agreed to cease and desist from committing or causing any violations of Section 17(a)(2) and 17(a)(3) of the Securities Act; to be suspended from association with any broker or dealer for

a period of three months; and, with the exception of Hoffman, to pay a $100,000 penalty. Hoffman, who retired from ICAP nearly four years ago, has agreed to pay a $50,000 penalty.

Finally, without admitting or denying the SEC's findings, Purpora and Murphy have each agreed to be suspended from association in a supervisory capacity with any broker or dealer for a period of three months and pay a penalty of $100,000.

# # #

For more information about this enforcement action, contact:

Sanjay Wadhwa
Assistant Director, SEC's New York Regional Office
(212) 336-0181

Amelia A. Cottrell
Branch Chief, SEC's New York Regional Office
(212) 336-1056

###

Last Reviewed or Updated: Dec. 18, 2009

RESOURCES

- **Administrative Proceeding Release No. 33-9097**